

Class 5

The Constitution as an Economic Document

Part I — The Growth Miracle

The American Economy — draft course materials (proposal under discussion)

The point of today's class

The Constitution is, among other things, an economic charter — the largest free-trade zone on earth, national protection for ideas and contracts, uniform money and bankruptcy, credible public credit, and a marketplace for religion: the operating system the American growth machine still runs on.

Why it matters

- ▶ Read the Constitution the way an economist reads a startup's charter.
- ▶ The founders faced a concrete economic mess — interstate trade wars, worthless debt, thirteen currencies, no national courts — and wrote a document that solved it.
- ▶ Every economic clause maps to a later class: today's table is the course's table of contents, drawn from the founding document.

Today

1. 1787: a failing startup
2. The economic clauses — and the problem each solves
3. The killer chart: the price of American promises
4. Hamilton's logic: honored debt is cheap debt
5. The First Amendment as market design
6. A modern stress test

1787: a failing startup

Under the Articles of Confederation:

- ▶ **Trade wars between states:** New York taxed New Jersey's commerce; states raised tariffs against each other.
- ▶ **Worthless debt:** continental and state debt traded at a fraction of face value — lending to America looked like a losing bet.
- ▶ **Monetary chaos:** thirteen currencies.
- ▶ **No enforcement:** no national courts; contracts across state lines were hard to enforce.

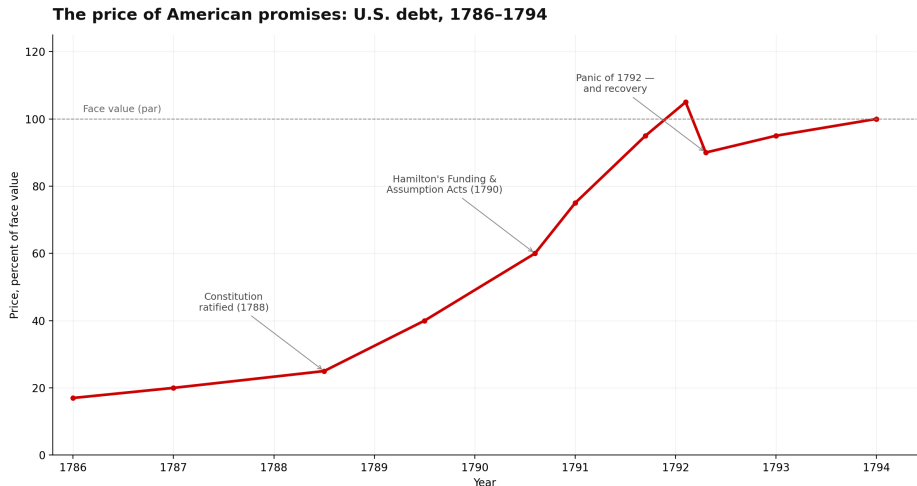
The Constitution is the restructuring plan.

The economic clauses: problem, solution, and where we meet them again

Clause	Economic problem it solves	Returns in
Commerce (Art. I §8)	interstate trade wars; one national market	Class 7
No state tariffs (Art. I §10)	goods, people, capital move freely	Class 7
Patents and copyrights (Art. I §8)	national protection for ideas	Class 8
Uniform bankruptcy (Art. I §8)	orderly failure; lending across states	Class 23
Coin money (Art. I §8)	one currency, not thirteen	Class 23
Tax and borrow (Art. I §8)	fiscal capacity; credible public credit	Class 22
Contracts (Art. I §10)	states cannot void debts	Class 4's lesson, codified
Takings (Amend. V)	no seizure without compensation	Class 17
No establishment (Amend. I)	a marketplace for religion	Classes 14, 21

- Each clause is a **commitment device**: a promise the states and the government cannot quietly break.

The price of American promises: U.S. debt, 1786–1794



Illustrative reconstruction based on Richard Sylla's accounts of founding-era debt prices (defaulted domestic debt → federal 6% stock). Precise series: Sylla, Wilson, and Wright, U.S. securities price database.

Source: Illustrative reconstruction based on Richard Sylla's accounts of founding-era debt prices. Precise series: Sylla, Wilson, and Wright, U.S. securities price database.

Hamilton's logic: honored debt is cheap debt

- ▶ **Funding:** pay the old debt at face value — a government that honors its promises can borrow cheaply forever.
- ▶ **Assumption:** the federal government takes over the states' war debts — creating a national capital market with one credible borrower at its center.
- ▶ **The Bank:** the Bank of the United States anchors payments and credit.
- ▶ The financial revolution follows: securities markets, corporate charters — capital for the growth machine.

The First Amendment as market design

- ▶ Uniquely among nations: **no established national church**.
- ▶ Disestablishment plus free exercise = a competitive religious marketplace — denominations must attract adherents, not tax them.
- ▶ Class 4's economic case for religious liberty, written into the founding document.

A modern stress test: full faith and credit

- ▶ Hamilton's asset is credibility — and it is still on the balance sheet.
- ▶ Debt-ceiling standoffs are a live experiment: when default is even discussed, the price of American promises moves.
- ▶ The lesson of 1790 runs in both directions: credibility was built on purpose, and it can be spent.

Designed, not stumbled into

- ▶ Other nations stumbled into growth-enabling institutions over centuries (Class 4's England).
- ▶ The United States is the rare case that *designed* them, debated them in public — the Federalist Papers are, among other things, economic-mechanism design — and wrote them down with courts to enforce them.
- ▶ Exit question: the founders designed good rules on purpose. So why can't every country just copy them? (Class 6.)

Discussion

If you were writing the constitution for a brand-new country today, which economic clauses would you copy from 1787 — and which would you change?

Read before next class

- ▶ The Constitution's economic clauses: Article I §8 and §10; Amendments I and V — read the clauses themselves.
- ▶ Hamilton, *First Report on Public Credit* (excerpt).
- ▶ Federalist No. 11 (excerpt); Sylla, “The U.S. Financial Revolution” — accessible overview.